FOREIGN NATIONAL

2nd HOME (1-UNIT ONLY) - 2 YEAR FULL DOC / ASSET UTILIZATION INVESTMENT PROPERTIES (1-4 UNITS - REDUCE LTV BY 5%)					
Min Credit Score	**Max Loan Amount**	**Max LTV/CLTV Purchase**	**Max LTV/CLTV R/T Refi**	**Max LTV/CLTV Cash-Out Refi**	**Property Type**
700+	1,500,000	75	70	65	**Single Family, 2-4 Units, Warrantable and Non-Warrantable Condo, and Condotel**
	2,500,000	70	70	65	
	3,000,000	65	65	60	
Foreign Credit	1,000,000	70	70	65	
	1,500,000	70	70	65	
	2,500,000	65	65	60	
	3,000,000	60	60	55	

Housing History	**Housing Event Seasoning**	**First Time Investor**	**Unleased Properties**
0x30x12	BK/FC/SS/DIL/Mod: > 48 Months	Allowed	Not Allowed on Refinances

DSCR – INVESTMENT (BUSINESS PURPOSE ONLY)					
Min Credit Score	**Max Loan Amount**	**Max LTV Purchase**	**Max LTV R/T Refi**	**Max LTV Cash-Out Refi**	**Property Type**
DSCR >=1.00					
700+	2,000,000	70	70	65	**Single Family, 2-4 Units, Warrantable and Non-Warrantable Condo, and Condotel**
	2,500,000	65	65	60	
	3,000,000	60	60	55	
Foreign Credit	2,000,000	70	70	65	
	2,500,000	65	65	60	
	3,000,000	55	55	50	

Housing History	**Housing Event Seasoning**	**First Time Investor**	**Unleased Properties**
0x30x12	BK/FC/SS/DIL/Mod: >= 36 Months	Allowed	Not Allowed on Refinances

Geographic Restrictions

- FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible.
- HI: Wholesale – Ineligible, Does not apply to Correspondents.
- IL: Ineligible only for TRID Loans located in Cook, Kane, Peoria and Will Counties, IL.
  - Restriction does not apply to Correspondents.
- MD: All Row Homes located in Baltimore City are ineligible.
- NY:
  - See NY Subprime section for requirements.
  - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).

General Requirements	
DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals
DTI Requirements	• Applies to Second Homes only: • Max 50% for Full Doc or Asset Utilization
Product Type	• 30-Yr Fixed, 15-Yr Fixed • 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing).
Interest Only	• Eligible on 30-Yr Fixed I/O
Loan Amounts	• Min: 150,000 and Max $3,000,000 (no exceptions)
Occupancy	• Full Doc – 2nd Home (1-Unit only) and Investment Properties 1-4 Units (Business Purpose) • DSCR – Investment Properties 1-4 Units (Business Purpose)
Loan Purpose	• Purchase, Rate/Term, and Cash Out
2-1 Buydown	• Not permitted.
Non-Occupant Co-Borrower	• Permitted when the non-occupying homebuyer is a US Citizen taking title to the property
Cash-Out	• > 55% LTV = $1,000,000; or if <= 55% LTV = Unlimited

<table>
<tr><td rowspan="5">Property Types</td><td>Condos and 2-4 Units</td><td colspan="2">• Condos: Warrantable and Non-Warrantable
• <u>Condos and 2-4 Units Max LTV/CLTV</u>:
○ Purchase and Rate/Term = 70%
○ Cash-out = 65%</td></tr>
<tr><td rowspan="2">Condotels</td><td><u>Full Doc 2nd Home & NOO Purchase or Rate/Term</u>
• Max 70% LTV
<u>Full Doc 2nd Home & NOO Cash Out</u>
• Max 60% LTV</td><td><u>DSCR Purchase or Rate/Term</u>
• Max 65% LTV
<u>DSCR Cash Out</u>
• Max 60% LTV</td></tr>
<tr><td colspan="2">• Max Loan Amount $1,500,000
• Must have full kitchen & 1 separate bedroom.
• Must be in a resort area or affiliated with a national hotel chain.</td></tr>
<tr><td>Multi-Family and Mixed Use</td><td colspan="2">• Refer to the NQMF DSCR Multi & Mixed Program Matrix.</td></tr>
<tr><td colspan="3"></td></tr>
<tr><td>Rural Property</td><td colspan="3">• Permitted in resort areas only with the following restrictions:
• If property is accessible by a gravel road and comparable distance are > 1 mile away, the property could be considered rural even if it is marked suburban, and then:
• Max LTV is the lesser of 65% LTV or the applicable Matrix LTV.
• Examples of acceptable vacation/resort areas include beach towns, ski resort areas, golf communities or communities with other major recreational activities.</td></tr>
<tr><td>Appraisals</td><td colspan="3">• 2nd Appraisal required for loan amounts > $2M.
• C3 condition rating or better.
• Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/</td></tr>
<tr><td>Declining Markets</td><td colspan="3">• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV.</td></tr>
<tr><td>Acreage</td><td colspan="3">• Max 2 acres</td></tr>
<tr><th colspan="4">Full Doc - Income Requirements</th></tr>
<tr><td>Salary / Wage Earner</td><td colspan="3">• For Investment Properties, reduce matrix LTV by 5%.
• Paystubs covering a minimum of 30-days (which include YTD income) and ONE of the following:
○ W-2 equivalent; OR
○ Two (2) years tax returns from borrower country of origin; OR
○ A letter from employer on company letter head providing current monthly salary, YTD earnings and total earnings for the past 2-years. Letter from employer must be on company letterhead, including address and company web address, Employer to be independently verified (LexisNexis, D&B, Google, other). All docs must be translated by an independent certified translator.</td></tr>
<tr><td>Self-Employment</td><td colspan="3">• Must be self-employed for a minimum of 2 years evidenced by a letter from the borrower's CPA or local equivalent (the "Accountant") on Accountant letterhead. The letter must include income figures for each of the last 2 years and YTD income. A business license (where required) and organization documents should be provided; and
• A copy of the Accountant's current license is required. The Business & Accountant must be independently verified; and
• All documents must be translated by an independent certified translator.</td></tr>
<tr><td>Rental Income</td><td colspan="3">• Permitted. See Rental Income in Guidelines</td></tr>
<tr><th colspan="4">Alt Doc - Income Requirements</th></tr>
<tr><td>Asset Utilization</td><td colspan="3">• For Investment properties, reduce Matrix LTV by 5%
• May be used as a sole source of income or combined with other income.
• Eligible assets must be sourced and seasoned for a minimum of three (3) months.
• Foreign National borrowers must have the lesser of (a) 1.5 times the loan balance or (b) $1M in Qualified Assets, both of which must be net of down payment, closing costs, and required reserves to qualify.
• The income calculation is as follows:
• Monthly Income = Net Qualified Assets / 60 Months
• Foreign Assets are eligible – see Guidelines</td></tr>
</table>

DSCR - Income Requirements

DSCR

General Requirements:

- All refinance transactions require the property to be leased. Vacant property is not eligible except for properties leased through short term rental agencies; or with evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such.
- Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.

Short Term Rentals:

- Defined as properties leased on a nightly, weekly, monthly, or seasonal basis.
- ALL STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding.
- Min DSCR >= 1.15
- Max LTV: Lesser of 70% or the LTV/CLTV available per the matrix.
- Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs.

Short Term Gross Rental Income:

- One of the following options are available:
  - 1007/1025 or
  - Alternative Short Term Rent Analysis form developed by an AMC or
  - 12-month look back on rents received using bank statements or 3rd party rental statements

  When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents.

Long Term Gross Rental Income:

- If using the lesser of market rents or the lease, nothing further is required.
- If using a higher lease amount, evidence of 2-months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%.
- If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%.

DSCR Ratio Calculation:

- DSCR Ratio = Short or Long Term Gross Rental Income /PITIA Fully Amortizing or ITIA (for IO Loans)

Underwriting Requirements

Documentation Requirements	• Copy of the Borrower's unexpired passport. • Refer to Guidelines for additional requirements not limited to being cleared through OFAC's SND list.
Credit Score	• Use primary income earner Representative score • The primary income- earner must have a valid score from at least 2 of the following 3 agencies: Experian (FICO), TransUnion (Empirica), and Equifax (Beacon). Only scores from these agencies are acceptable. • To determine the Representative Credit Score for the primary wage-earner, select the middle score when 3 agency scores are provided and the lower score when only 2 agency scores are provided.
Tradelines	• Minimum: 2 open and reporting 24-months or 3 open and reporting 12-months even if 3 credit scores are available. See Guidelines for requirements
Non-Occupant Co-Borrower	• Permitted when the non-occupant co-borrower is a US Citizen who will be taking title.
Reserves	• 12-months of PITIA • 6-months with 5% LTV reduction. • Cash out may be used to satisfy requirement. • Reserves not required when using Asset Utilization as sole source of income.

Gift Funds	• Permitted as long as borrower has 10% own funds for downpayment, closing costs, plus reserves. • Max loan amount of $1.0M when there is a gift • Considered for reserves
Assets	• 30-days asset verification required for US Based Accounts; 60-days for Foreign Assets • Deposits > 50% of gross income must be documented on purchases
Subordinate Financing	• Not Permitted
FN – Residual Income 2nd Homes only	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • FN: applies to HPML loans or when the DTI > 43% on 2nd homes only: • 1 person = $1,500 • 2 persons = $2,500 • Add $150 per additional household member.
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Required where permitted for Investment Properties. See the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	Second Homes • <= 75% LTV = 9% Investment • ALL = 6%
Escrow Waiver	• Not Permitted
ACH Payment	• Required • Financial Institution from which the ACH will be debited must be an established international financial institution and domestic presence is not required.
Other	• Power of Attorney not permitted